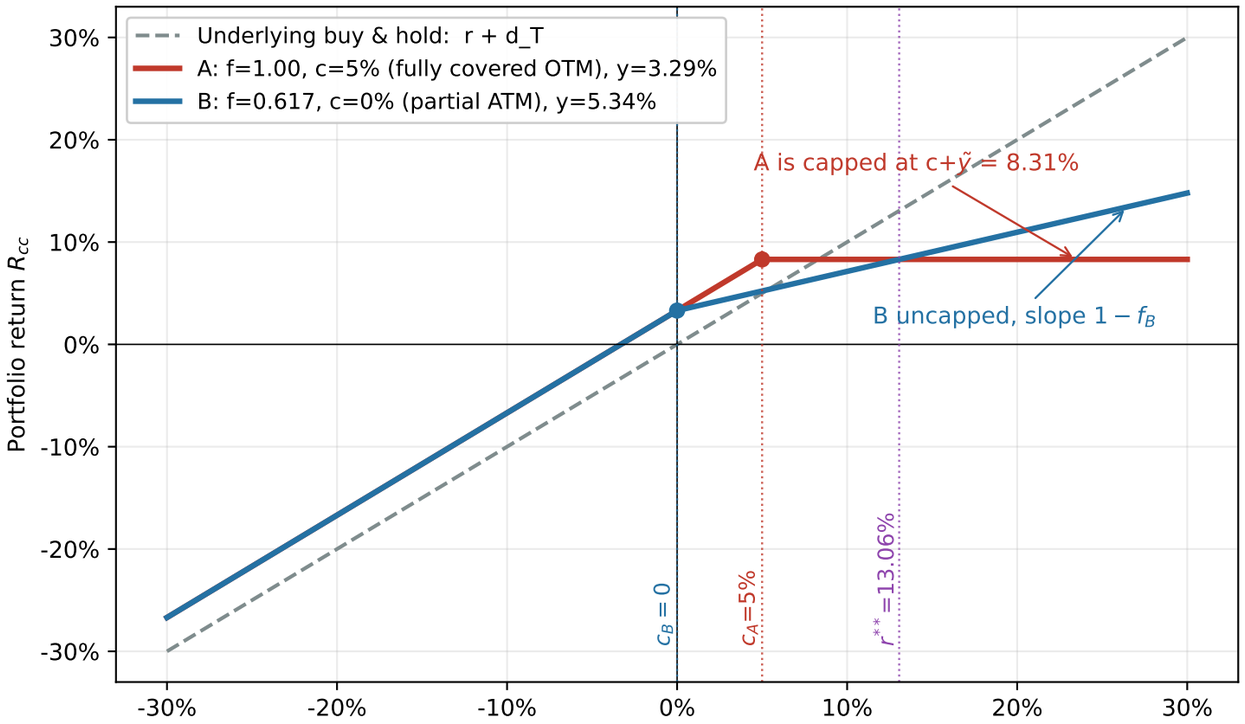
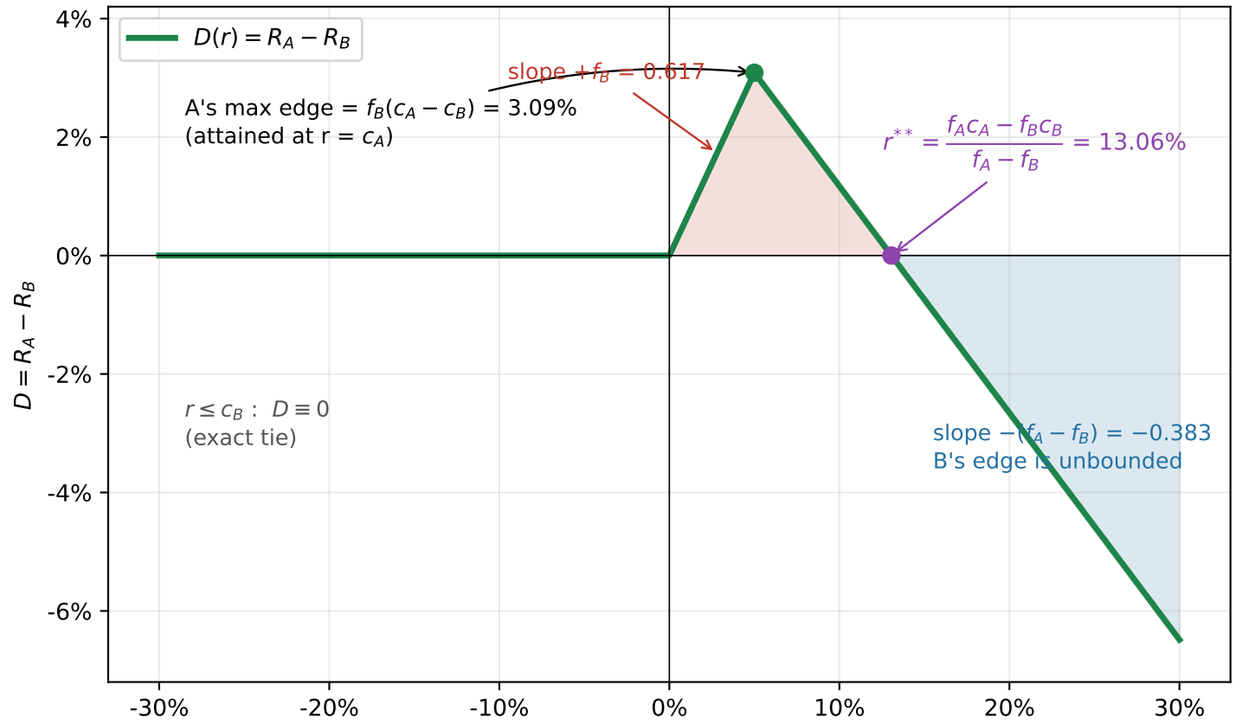
Covered call theory · A vs B, premium-matched at Y=3.295% σ_{IV}=45%, τ=1M, r_f=4%, q=0, d_T=0

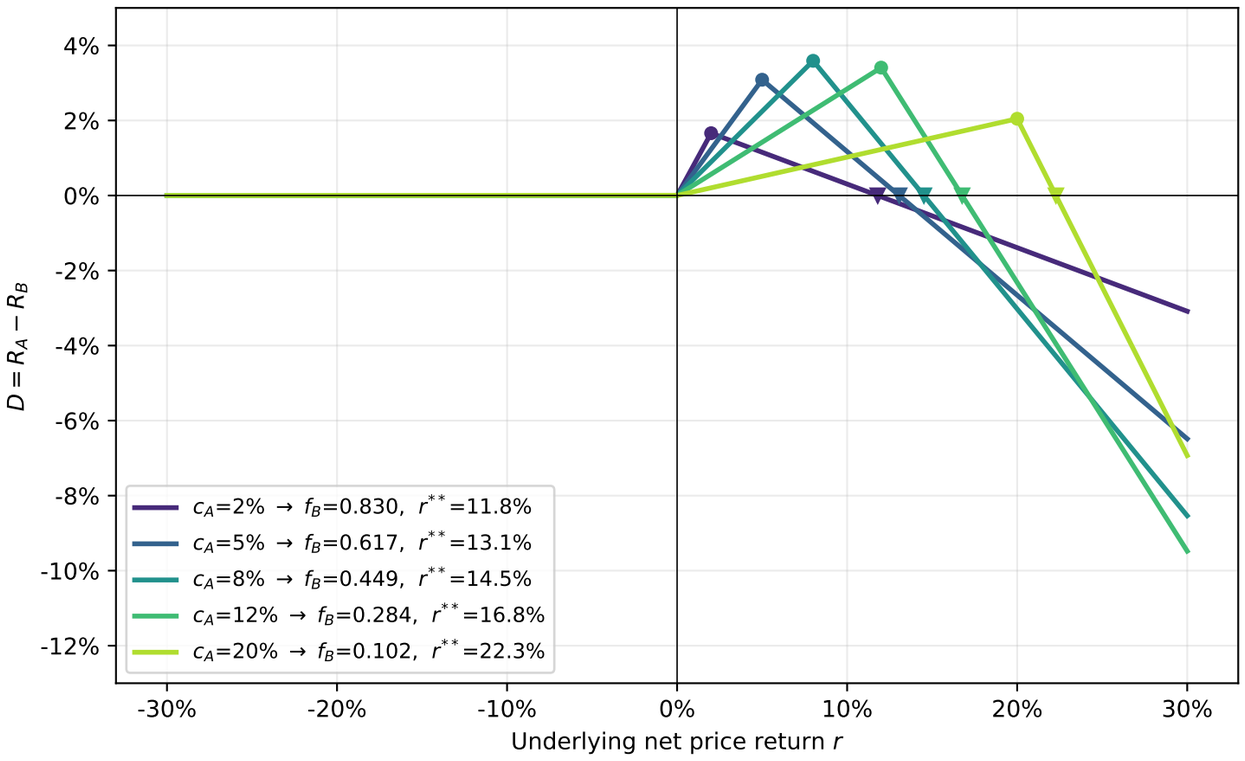
(1) Single-period return: A (fully covered OTM) vs B (partial ATM), premium-matched



(2) $D(r) = f_B(r - c_B)^+ - f_A(r - c_A)^+$ — a zero-cost ratio call spread (eq. 3)



(3) Pushing A's strike out: peak edge first rises then falls (non-monotonic); r^{**} shifts right



(4) Excess over buy & hold: the crossover r^* = c+$\tilde{y}$ does not depend on f (Sec 3.1)

